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## **Report Name:** Oilseeds and Products Update

**Country:** Brazil

**Post:** Brasilia

**Report Category:** Oilseeds and Products

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### **Report Highlights:**

Brazil's soybean sector is projected to grow in 2025/26, with post revising the total projected planted area to 49.1 million hectares and estimated production reaching 176 million metric tons in 2026, driven by favorable weather and technological advances. Despite record yields, financial challenges persist in 2025, due to high input costs and rising interest rates. Export projections increased to 114 million metric tons for MY 2025/26, supported by expanded port capacity and growing demand from China. Domestic soybean processing is also expected to rise, fueled by livestock feed demand and biodiesel mandates, strengthening Brazil's position in both international and internal markets.

## BRAZIL'S SOYBEAN AREA, PRODUCTION AND YIELD ESTIMATES (MY 2024/25)

### **Area**

Post revises up its Marketing Year (MY) 2024/25 area estimate to 47.6 million hectares (ha), an increase of 300 thousand ha. This represents a slight increase of 0.6 percent compared to the previous report. This expansion would represent a total increase of three percent, compared to the USDA official number of 46.15 million ha for MY 2023/24. Over the past few months, several forecasting agencies have reported the identification of new soybean areas through the usage of geoprocessing technologies and satellite imagery, projecting a significant increase in total area for MY 2025/26.

### **Production**

Post maintains its original production projection for MY 2024/25 at 169.5 million metric tons (MMT). Despite the delayed start to planting due to late rainfall in the Central-West region, crop development proceeded as early as expected, supported by broadly favorable weather conditions. Agrometeorological monitoring systems have reported favorable weather for most parts of Brazil during the first half of 2025, contributing to a production recovery from last year, when Brazil faced difficulties due to weather instability caused by the El Niño climate patterns. Harvest losses have been mainly concentrated in the southern part of Mato Grosso do Sul, the western region of Paraná, and more severely in Rio Grande do Sul, a state facing its fourth consecutive crop failure.

### **Yield**

Favorable weather conditions in most parts of the country during the first half of 2025 were one of the contributing factors that led to recovery in productivity in 2025 and a 6 percent increase in yield compared to 2024. This performance has resulted in a revised average yield of 3.56 metric tons per hectare (mt/ha) for MY 2024/25, slightly below our original estimate of 3.58 mt/ha, but still a record-breaking result overall.

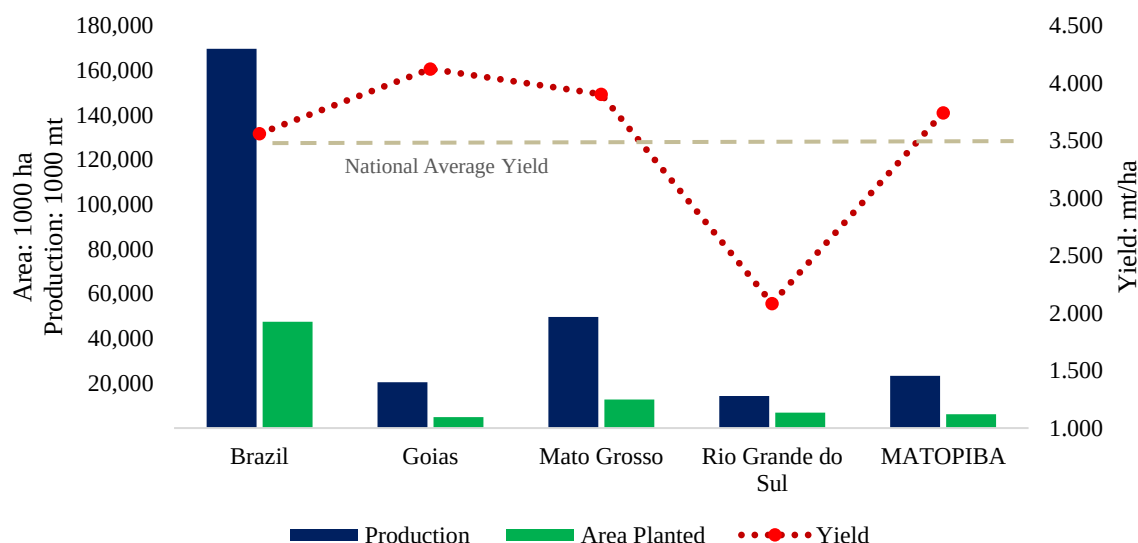
MY 2024/25 was the most productive year for soybean production in the history of Brazil, and though the state of Goiás was the most productive state, with an average yield of 4.12 mt/ha, the most productive region has been the Southeast region of Brazil, with an average yield of 3.97 mt/ha.

The MATOPIBA region, a promising region for the future of soybean production in Brazil, comprising the states of Maranhão, Tocantins, Piauí, and Bahia, had an average yield of 3.74 mt/ha, with Bahia being the most productive state in the region with an average of 4.08 mt/ha.

In Mato Grosso, the state with the highest soybean production volume, average productivity was 3.90 mt/ha, making it the 5th most productive state in the country. The state with the lowest level of productivity was Rio Grande do Sul, with recent yield numbers at 2.08 mt/ha.

**Figure 1**

*National and Regional Average Soybeans Production, Area Planted and Yield for MY 2024/25*



Source: Brazilian National Supply Company (CONAB) and Post Brasilia (Office of Agricultural Affairs – OAA). Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

## STATE LEVEL HARVEST HIGHLIGHTS

### Goiás

Harvest concluded in early April, with mid and late cycle crops benefitting from sporadic rainfall. The area remained at an estimated 4.95 million hectares, with an average yield of 4.12 mt/ha.

### Mato Grosso

Harvest was completed at the end of April with record-breaking results, making it the best in the state's history. Favorable weather and producer expertise led to an estimated yield of 3.90 mt/ha and total production of over 50 MMT.

### Mato Grosso do Sul

Harvest has concluded with record yields being reported in the regions of Chapadão do Sul and Costa Rica, leading the northern region to average 3.90 mt/ha. Drought and extreme temperatures during the grain maturing period reduced yields in other areas, impacting overall state production.

### Rio Grande do Sul

Post contacts and Brazilian government sources have reported that, unlike the previous season, mostly dry weather allowed harvest to progress rapidly from 29 percent to 92 percent during April. While some isolated fields performed well, most crops suffered from drought-related issues, such as short plants, aborted and low pod sets, and light or immature grains, which resulted in low yields. Estimated average

yield fell again to 2.08 mt/ha, a two percent drop from last month and 30 percent below initial projections. For many producers, yields were too low to cover variable production costs, marking the fourth consecutive disappointing harvest.

### **Maranhão**

Harvest has concluded, with favorable weather contributing to an increase in productivity in most regions of the state. Crops are mostly healthy and well-developed. However, drought affected yield potential in some subregions, leading to a state average yield of 3.47 mt/ha.

### **Tocantins**

Harvest is finished, with excellent weather conditions leading to the highest average yield ever recorded in the state: 3.73 mt/ha.

### **Piauí**

Harvest is complete, with record yields initially reported, but dry spells in late February and early March impacted key municipalities, leading to an average yield of 3.46 mt/ha.

### **Bahia**

Harvest is now complete, with yield level volatility being reported toward the end of the harvest, mostly due to heavy rainfall in certain areas, which increased humidity levels above the ideal parameters. Decreases in yield were seen in specific areas, but these decreases did not significantly impact the strong overall performance of the season, which ends with an average yield level of 4.08 mt/ha.

### **Minas Gerais**

Harvest ended in mid-April, with over 95 percent completed by March. Dry weather in February and early March affected late-developing crops, reducing their yields. However, early- and mid-cycle crops benefited from favorable conditions between November and January, often outperforming expectations. Irrigated fields, especially in the northwest, also achieved excellent results. The average state yield for MG last reported was 3.93 mt/ha, according to CONAB.

### **Paraná**

Despite dry spells in some areas, the average yield reached 3.66 mt/ha, a 16.1 percent increase compared to the previous season, according to CONAB numbers.

### **São Paulo**

Harvest is complete, with yields exceeding initial projections, ending at 4.05 mt/ha.

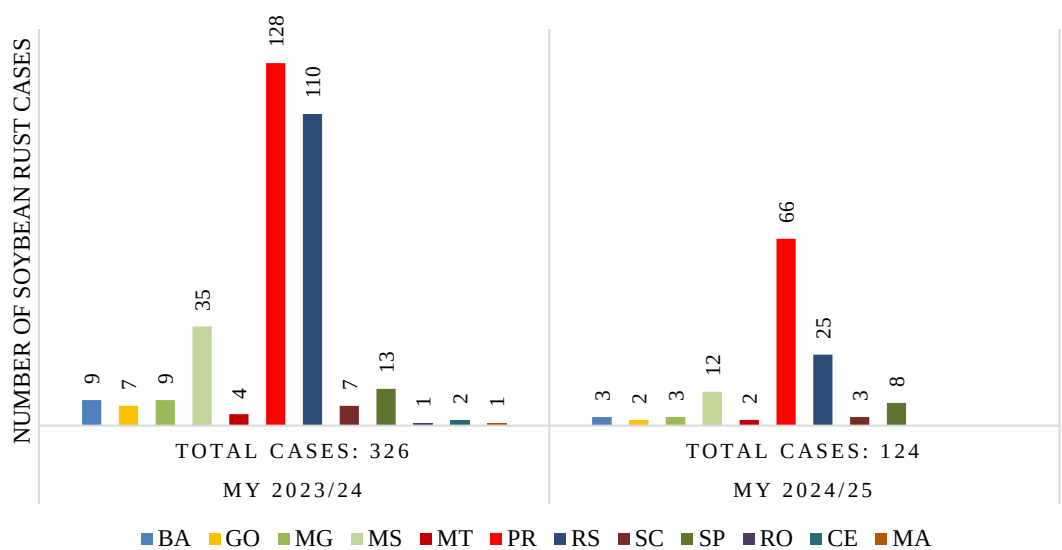
### **Pará**

Weather generally supported crop development and harvest. However, early harvested areas faced excessive rainfall and grain damage, reducing yields to 3.45 mt/ha.

**New Guidelines and the Updated 'Vazio Sanitário' Calendar for Plant Disease Control**

In 2024, Brazil’s Ministry of Agriculture and Livestock (MAPA) established new rules and guidelines for controlling Asian soybean rust, pests, and other general plant diseases through Ordinance No. 1,124. The regulation updates the rules for managing Asian soybean rust, details record-keeping obligations and deadlines, broadens the definition of executing agencies, strengthens requirements for exceptional cultivation, and tightens restrictions on soybean-on-soybean planting.

**Figure2**  
*Soybean Rust Cases Across Main Producing States (MY 2023/24 – MY 2024/25 Comparison)*



Source: Brazil’s Anti-rust Consortium (Consórcio Antiferrugem). Chart elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).

The specific MY 2025/26 calendar dates for the sanitary void period and its measures were set for 21 states and the Federal District under Ordinance No. 1,271, issued in April 2025. States may submit their own calendar proposals by January 31 of each year.

**Table 1**

*Brazil's official "Vazio Sanitário" (Sanitary Void) and sowing calendars*

| <b>MY 2025/26 Vazio Sanitario Calendar</b> |                             |                                             |
|--------------------------------------------|-----------------------------|---------------------------------------------|
| <b>State/Region</b>                        | <b>Sanitary Void</b>        | <b>Allowed Planting Period</b>              |
| <b>AC</b>                                  | June 22 – Sept 20, 2025     | Sept 21, 2025 – Jan 8, 2026                 |
| <b>AL</b>                                  | Jan 1 – Apr 1, 2026         | Apr 2 – Jul 10, 2026                        |
| <b>AM / RO</b>                             | June 10 – Sept 10, 2025     | Sept 11, 2025 – Jan 9, 2026                 |
| <b>AP</b>                                  | Dec 1, 2025 – Feb 28, 2026  | Mar 1 – Jun 8, 2026                         |
| <b>DF / MG / TO</b>                        | July 1 – Sept 30, 2025      | Oct 1, 2025 – Jan 8, 2026 (TO until Jan 15) |
| <b>GO</b>                                  | June 27 – Sept 24, 2025     | Sept 25, 2025 – Jan 2, 2026                 |
| <b>MT</b>                                  | June 8 – Sept 6, 2025       | Sept 7, 2025 – Jan 7, 2026                  |
| <b>MS</b>                                  | June 15 – Sept 15, 2025     | Sept 16 – Dec 31, 2025                      |
| <b>RJ</b>                                  | June 15 – Sept 28, 2025     | Sept 29, 2025 – Jan 6, 2026                 |
| <b>RS</b>                                  | July 3 – Sept 30, 2025      | Oct 1, 2025 – Jan 28, 2026                  |
| <b>CE</b>                                  | Nov 3, 2025 – Jan 31, 2026  | Feb 1 – May 31, 2026                        |
| <b>RR</b>                                  | Dec 19, 2025 – Mar 18, 2026 | Mar 19 – Jun 26, 2026                       |
| <b>SC Region I</b>                         | July 4 – Oct 12, 2025       | Oct 13, 2025 – Feb 10, 2026                 |
| <b>SC Region II</b>                        | June 13 – Sept 21, 2025     | Sept 22, 2025 – Jan 22, 2026                |
| <b>BA Region I</b>                         | June 26 – Oct 7, 2025       | Oct 8 – Dec 31, 2025                        |
| <b>BA Region II</b>                        | June 14 – Sept 14, 2025     | Sept 15 – Dec 15, 2025                      |
| <b>BA Region III</b>                       | Dec 14, 2025 – Mar 14, 2026 | Mar 15 – Jun 25, 2026                       |
| <b>MA Region I</b>                         | July 3 – Sept 30, 2025      | Oct 1, 2025 – Jan 28, 2026                  |
| <b>MA Region II</b>                        | Aug 3 – Oct 31, 2025        | Nov 1, 2025 – Feb 28, 2026                  |
| <b>MA Region III</b>                       | Sept 2 – Nov 30, 2025       | Dec 1, 2025 – Mar 30, 2026                  |
| <b>PA Region I</b>                         | June 15 – Sept 15, 2025     | Sept 16, 2025 – Jan 14, 2026                |
| <b>PA Region II</b>                        | Aug 1 – Oct 31, 2025        | Nov 1, 2025 – Feb 28, 2026                  |
| <b>PA Region III</b>                       | Aug 15 – Nov 15, 2025       | Nov 16, 2025 – Mar 14, 2026                 |
| <b>PI Region I</b>                         | Sept 1 – Nov 30, 2025       | Dec 1, 2025 – Mar 20, 2026                  |
| <b>PI Region II</b>                        | Aug 1 – Oct 31, 2025        | Nov 1, 2025 – Feb 18, 2026                  |
| <b>PI Region III</b>                       | July 1 – Sept 29, 2025      | Sept 30, 2025 – Jan 27, 2026                |
| <b>PR Region I</b>                         | June 21 – Sept 19, 2025     | Sept 20, 2025 – Jan 20, 2026                |
| <b>PR Region II</b>                        | June 2 – Aug 31, 2025       | Sept 1 – Dec 31, 2025                       |
| <b>PR Region III</b>                       | June 12 – Sept 10, 2025     | Sept 11, 2025 – Jan 10, 2026                |
| <b>SP Region I</b>                         | June 1 – Aug 31, 2025       | Sept 1 – Dec 29, 2025                       |
| <b>SP Region II</b>                        | June 12 – Sept 12, 2025     | Sept 13, 2025 – Jan 10, 2026                |
| <b>SP Region III</b>                       | June 15 – Sept 15, 2025     | Sept 16 – Dec 24, 2025                      |

*Source: MAPA. Table elaborated by: Post Brasilia (Office of Agricultural Affairs – OAA).*

## BRAZIL'S SOYBEAN AREA, PRODUCTION AND YIELD PROJECTIONS (MY 2025/26)

### Area

Post estimates that for MY 2025/26, soybean planted area will increase by 3 percent compared to the new MY 2024/25 estimates, reaching a total of 49.1 million ha. Post contacts suggest that with the end of, or more flexibility in, the Soy Moratorium, a significant expansion of soybean planted area could be reported in 2026.

The Soy Moratorium is an agreement established in 2006 by major soybean traders, environmental organizations, and the Brazilian government to prevent the sale of soybeans grown on land deforested in the Amazon biome after July 2008. The goal is to control deforestation driven by soybean expansion.

Recently, various stakeholders—including agribusiness associations, members of the Agricultural Caucus (Bancada Ruralista), and certain trade companies—have advocated for the termination or relaxation of the Soy Moratorium. They argue that the policy unjustly restricts economic development in the Amazon region and contravenes Brazilian legislation on the issue.

Although the legitimacy of the Soy Moratorium and its benefits to the agricultural sector were recognized by the Supreme Court of Brazil, the court later revised part of its injunction and authorized the state of Mato Grosso to begin withholding tax incentives from companies participating in the moratorium, starting in January 2026, which could hinder the future of the agreement.

Additional details on the Brazilian Soy Moratorium can be found in the recently posted GAIN report: [Brazil's Soy Moratorium - Balancing Economic Interests and Regulatory Measures | BR2025-0016](#).

### Production

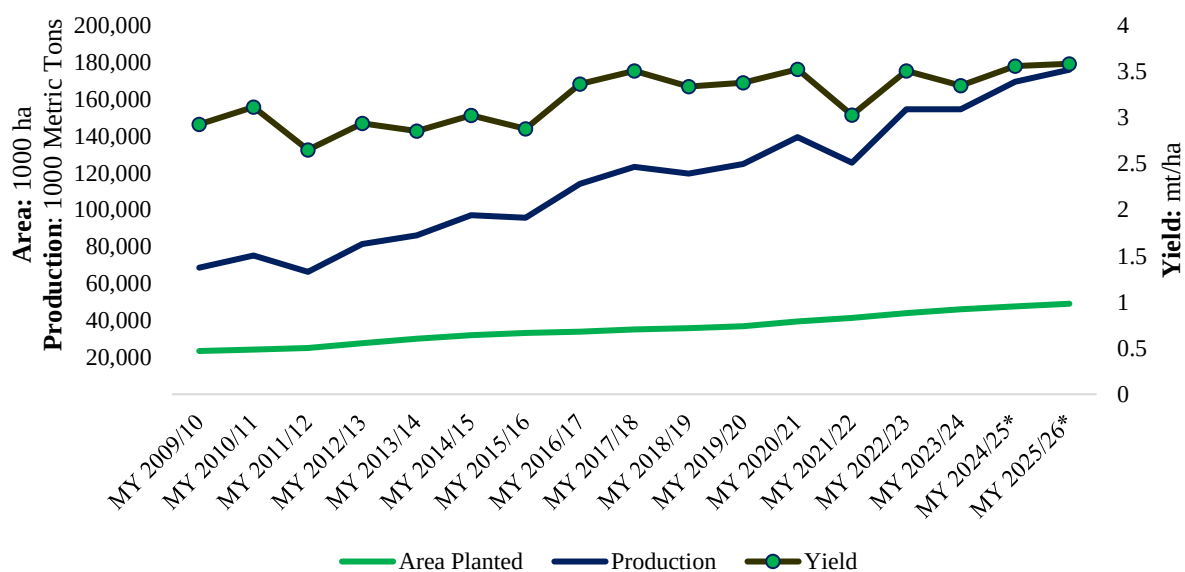
Post revises up its MY 2025/26 soybean production projection to 176 MMT. This represents a nearly 2 percent increase from Post's initial projection of 173 MMT. This increase is mainly driven by the expansion of soybean planted area, supported by high global demand, stable weather with an El Niño season, and an increase in productivity compared to the prior and current years.

### Yield

Productivity is projected to increase, mainly due to more favorable weather conditions compared to the recent El Niño climate season, which also carried aftermath weather characteristics into the current year. Innovation in irrigation systems, availability of new technologies, and the 'vazio sanitário' guidelines are some other factors expected to contribute to a highly productive soybean harvest year in Brazil. Post projects the average national yield in Brazil to reach 3.58 mt/ha during MY 2025/26.

**Figure3**

*Evolution of Soybean Area, Production and Yield in Brazil (MY 2009/10 – MY 2025/26)*



Source: FAS. Chart elaborated by Post Brasilia (Office of Agricultural Affairs – OAA). Note: Data for the latest MY, marked with (\*), considers Post's estimates and forecasts.

### Environmental Licensing Reform to Impact Soybean Expansion in Brazil

Along with more flexibility with the Soy Moratorium, another factor that could potentially impact the soybean sector is an environmental bill currently under review. The Brazilian Senate has approved the General Environmental Licensing Law (PL 2.159/2021). The bill simplifies and unifies environmental licensing rules and now returns to the House of Representatives for further review.

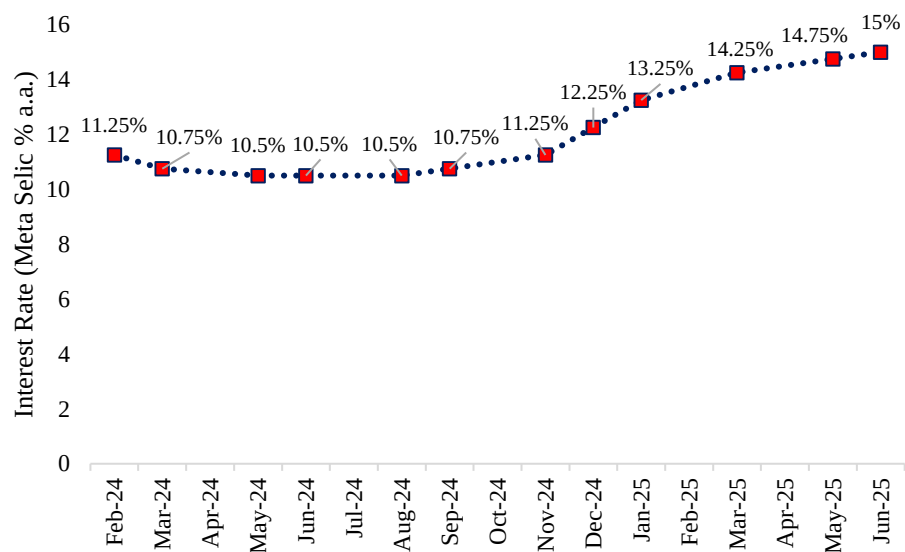
Although it does not directly affect deforestation procedures, the law is expected to unlock key infrastructure projects like roads, warehouses, ethanol plants, and the [Ferrogrão](#) railway, potentially saving billions in freight costs and boosting competitiveness. The measure also facilitates licensing for renewable energy sources such as solar and wind, lowering energy costs for farmers. Overall, the sector sees this as a step toward reduced bureaucracy, improved infrastructure, and greater legal and environmental security.

Post contacts and key figures in the soybean sector estimate that the implementation of this law could result in BRL 8 billion in freight savings and generate over 6,000 new jobs.

Financing Constraints Could Be an Impediment to Secure Further Investments

Despite a record grain harvest in 2025, Brazil’s agricultural sector faces financial stress due to unfavorable economic conditions. Though the Brazilian real has recently gained more stability, the sharp depreciation of the currency in the past couple of years has raised the cost of imported inputs such as fertilizers and agrochemicals, squeezing profit margins. Simultaneously, the sharp rise in domestic interest rates—from 10.5 percent to 15 percent annually over the past year—has significantly increased financing costs, making it more challenging and expensive for producers to refinance debt or sustain operations.

**Figure 4**  
*Historical Basic Interest Rate (February 2024 – June 2025 Selic % a.a.)*

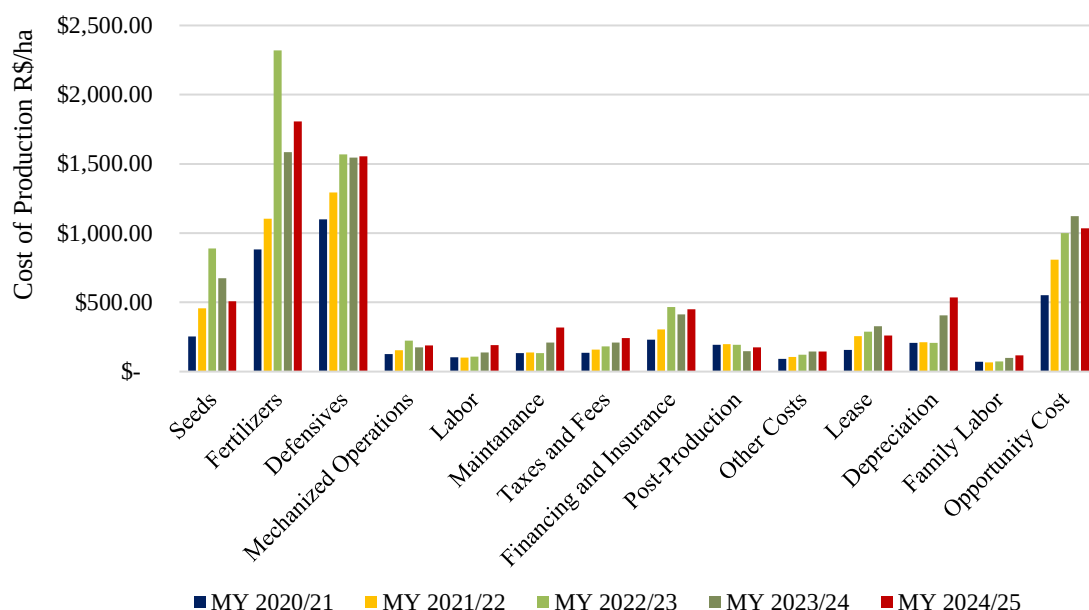


Source: Brazilian Central Bank | Chart elaborated by Post Brasilia (Office of Agricultural Affairs – OAA).

Financial pressures, combined with stagnating commodity prices, increases in production costs, and past over-investment during price peaks, led to a surge in loan defaults and judicial recovery filings among farmers, despite strong production forecasts.

**Figure 5**

*Cost of Soybean Production in Mato Grosso*



Source: IMEA (Instituto Mato-grossense de Economia Agropecuária) | Chart elaborated by Post Brasilia (Office of Agricultural Affairs – OAA).

## Trade

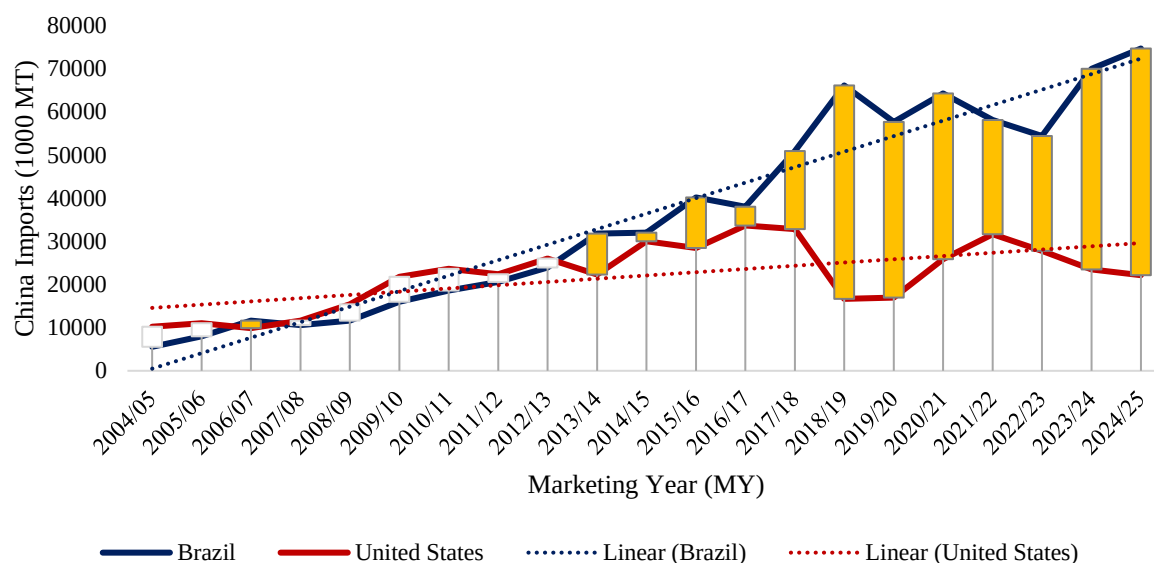
Post maintains its original projection for soybean exports for MY 2024/25 at 108.3 MMT. Earlier this year, it was projected that Brazil could experience an increase in soybean exports, mainly driven by recent tariff conflicts and a potential new market strategy initiated by the People’s Republic of China (PRC). However, according to Post contacts and specialists in the Brazilian soybean market, a spike in soybean exports driven by an incentive of this nature will likely only take effect in the upcoming years.

Based on data from the Chinese Customs Statistics, obtained through Trade Data Monitor LLC (TDM), PRC, the number one destination for U.S. and Brazilian soybeans, has historically imported around 19 MMT of soybeans during the first quarter of the year for the past five years. Though this level of imports by the PRC has overall remained the same during the first quarter of 2025, according to the U.S. Census Bureau, the PRC has decreased its soybean imports from the United States by eight percent during the same period compared to last year. Data from the Brazilian Ministry of Development, Industry, and Trade shows that Brazil exported 16.9 million metric tons (MMT) of soybeans to the PRC during the first quarter of 2025. This represents an increase of nearly seven percent compared to the 15.8 MMT exported during the same period in 2024. The month of March was the second largest month of soybean exports to the PRC in a single month, with 11.1 MMT of soybeans exported. The highest monthly soybean exports from Brazil to the PRC occurred in April 2021, with 11.6 MMT exported.

Though some numbers may diverge due to varied reporting methodologies, the data still imply that Brazil is the direct U.S. competitor in the soybean market and the number one alternative for China in an eventual shift in the source of soybean imports.

**Figure 6**

*Brazil vs U.S. Soybean Exports to China (MY 2004/05 – MY 2024/25)*



Source: Trade Data Monitor (TDM) | Chart elaborated by Post Brasilia (Office of Agricultural Affairs – OAA).

Post revised its forecast of soybean exports for MY 2025/26, increasing it to 114 MMT, a 1.7 percent increase from the original estimate of 112 MMT. This increase is mainly driven by possible opportunities Brazil initiated through ongoing tariff disputes and market strategy. Another factor that supports an eventual increase in the number of soybean exports and the country's capacity to accommodate this increase in demand is the expansion of terminal STS11 at the Port of Santos, which is currently operated by COFCO International, the largest Chinese food and agriculture company.

In 2022, COFCO won the 25-year concession for the agricultural solid bulk terminal STS11 with a BRL 10 billion bid and a commitment of more than BRL 764 million in investments at the port. Part of this investment will be directed toward the modernization and expansion of the terminal's grain handling capacity, which will expand the dynamic capacity of the station from 3 MMT to 14.3 MMT.

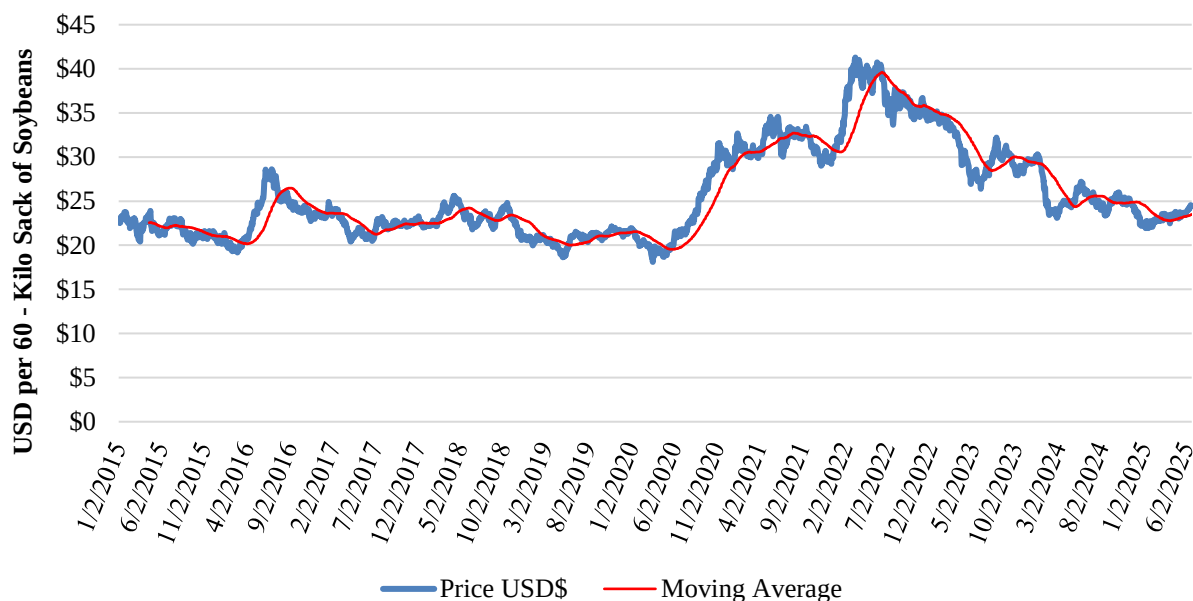
Operations at STS11 are expected to start in 2026, with the station set to be one of the largest in the Port of Santos, which currently accounts for nearly 30 percent of total soybean exports, indicating that this investment in port capacity expansion could be a needle mover in the soybean export market.

## Prices

Brazilian soybean prices declined significantly in early 2025. In May, farmgate prices were approximately 2 percent lower than the previous year, influenced by a recovery in the Brazilian real value and reduced domestic demand during this period. In April, prices ranged between BRL 122.42 and BRL 135.49 per 60 kg sack, varying by region.

**Figure 7**

*Soybean Prices at the Port of Paranaguá in 2015-2025*



Source: CEPEA data | Chart elaborated by Post Brasilia (Office of Agricultural Affairs – OAA).

## Domestic Consumption and Processed Products

Post increased its original projection for Brazil's soybean crush to 57 MMT, a 2.1 percent increase from the previous year. This expansion reflects Brazil's large protein production industries requiring more soy meal for animal feed, as well as the government's B15 biodiesel mandate, expected to take effect between 2025 and 2026, which boosts demand for soy oil as a key feedstock.

Recent internal consumption data indicate that Brazil's soybean industry is becoming more vertically integrated, with greater value being added domestically rather than relying solely on raw soybean exports. As a result, the soybean complex (grains, meal, and oil) is playing an increasingly critical role in Brazil's internal economic activity, linking agriculture with energy (biodiesel) and food production chains.

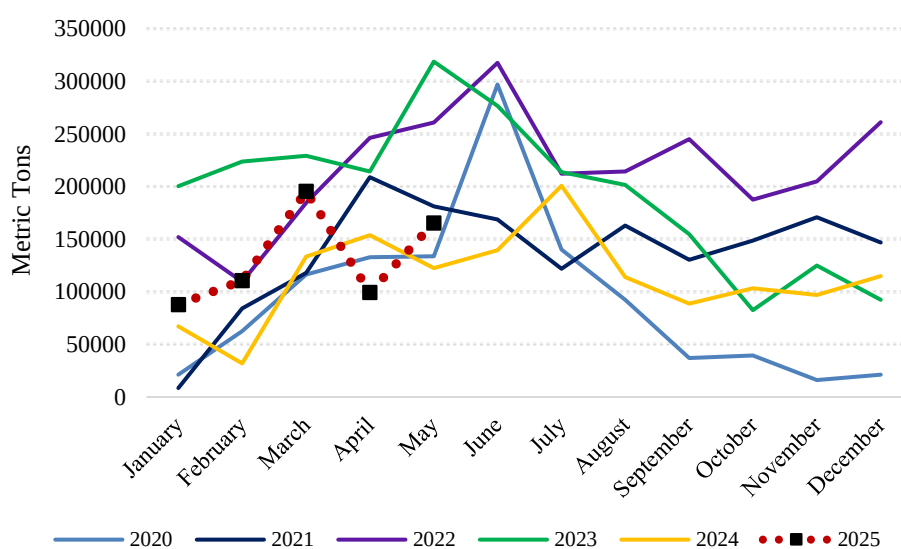
## Soybean Oil

The current projected crush rate of 57 MMT would produce an estimated 11.5 MMT of soy oil, with nearly 13 percent of total production exported to other countries.

During the first five months of 2025, Brazil exported a total of 658 thousand tons of soy oil, a nearly 30 percent increase compared to the same period in 2024. India remains the main destination for Brazilian soy oil, accounting for more than 70 percent of its total exports so far in 2025.

**Figure 8**

*Monthly Brazilian Soy Oil Exports (January 2020 – May 2025)*



Source: SECEX - Trade Data Monitor (TDM) | Chart elaborated by Post Brasilia (Office of Agricultural Affairs – OAA).

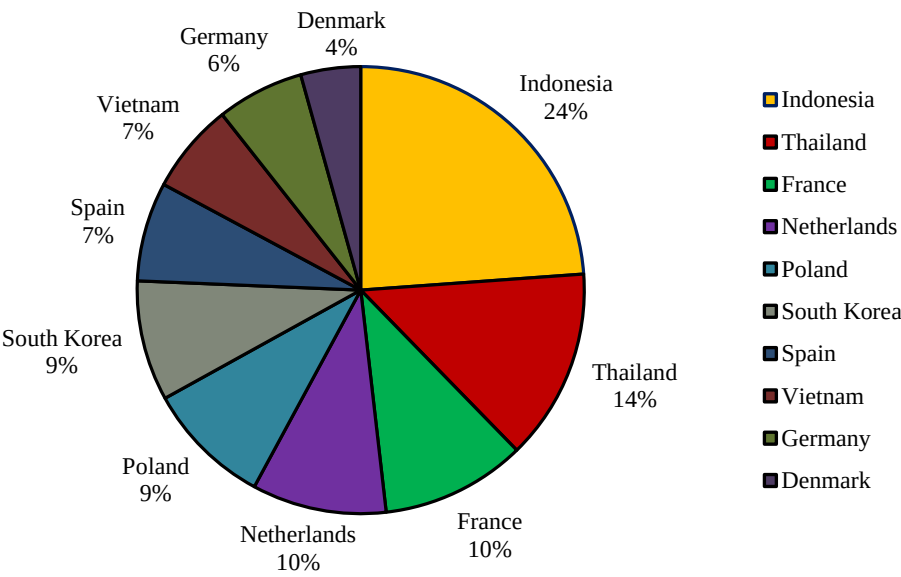
## Soybean Meal

Brazil's estimated crush for 2025 is projected to result in 43.5 MMT of soy meal production, with more than half of total production designated for exports.

In 2024, Brazil exported over 23.1 MMT of soy meal, with 9.3 MMT exported in the first five months of the year. In 2025, Brazil has exported more than 9.6 MMT of soy meal, a 3 percent increase compared to the same period last year.

Indonesia remains the main destination for Brazilian soy meal, followed by Thailand and Europe, similar destinations to previous years.

**Figure 9**  
*Main Destinations for Brazilian Soy Meal Exports (January – May 2025)*



Source: SECEX - Trade Data Monitor (TDM) | Chart elaborated by Post Brasilia (Office of Agricultural Affairs – OAA).

## Soybean Production, Supply, Distribution

(1000 HA),(1000 MT),(MT/HA)

## Soybean Oil Production, Supply, Distribution

(1000 MT) ,(PERCENT)

## Soybean Meal Production, Supply, Distribution

(1000 MT) ,(PERCENT)

**Attachments:**

No Attachments